



Association of Mutual Funds in India

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135/BP/114/2024-25

Date: June 19, 2024

To,

All AMFI Members

AMFI Best Practices Guidelines Circular No.114 /2024-25

Sub: Action to be taken by AMCs if the name of an unrelated individual is found to have been added as Joint holder in folios of multiple unrelated 1st holders

(A) Introduction

Please refer to AMFI Best Practices Guidelines circular no. 113 dated March 15, 2024 regarding action to be taken by AMCs if a mutual fund distributor (MFD) is found to be added as a joint holder in folios of multiple unrelated 1st holders.

In this context, SEBI has advised AMFI to formulate similar Best Practices Guidelines to address situations where an unrelated individual (other than a mutual fund distributor) is found to have been added as joint holder in folios of multiple unrelated 1st holders.

AMFI has since formulated the necessary guidelines in the matter in consultation with AMFI Operations & Compliance Committee as well as SEBI.

Accordingly, the following Best Practice Guidelines are being issued to be followed by all AMCs/RTAs uniformly **and mandatorily**.

(B) New Investments:

- a) The AMCs shall ensure that their RTA's systems and processes have built-in checks to detect such cases upfront, by checking whether the name of the 2nd or 3rd holder who is apparently unrelated to the 1st holder is appearing as the 2nd or 3rd holder in the folios of multiple unrelated 1st holders i.e., 10 or more such 1st holder across all the AMCs serviced by the RTA on the basis of PAN/PEKRN, and middle name (father's name) and surname of the holders.
- b) If the name of the unrelated individual is found to have been added as the 2nd or 3rd holder in the folios of multiple (i.e., 10 or more) unrelated 1st holders across all the AMCs serviced by the RTA as mentioned above, then action as per para-C (b) to C (d) below should be taken by the AMCs.
- c) Till such time it is conclusively determined whether the individual whose name is appearing as joint holder is related to the 1st holder (basis the middle name (father's name) and surname of the holders), a temporary "STOP" shall be marked in respect of the units allotted in such folio. In case of the folios where the investment is received through a MFD, the trail commission payable to such MFD shall also be withheld till such time the action as per para C (1)(c) and C (1) (d) below is taken.



(C) Existing Investments:

1) Identification of folios

- a) AMCs/RTAs are advised urgently to scrutinise the existing records to identify the folios where the name of a prima facie unrelated individual is appearing as a joint holder (2nd or 3rd holder) in the folios of 10 or more unrelated 1st holders across all AMCs serviced by the respective RTA on the basis of PAN/PEKRN, and determine whether the individual is related to the 1st holder or not on the basis of middle name (father's name) and surname, latest by **July 15, 2024**.
- b) In such folios where the unrelated joint (2nd or 3rd) holder's name is found to have been added in the folios of 10 or more unrelated 1st holders across all the AMCs serviced by the RTA, the AMC should write to the 1st unit holder to confirm whether the name of unrelated person has been added in their mutual fund folio(s) with his/her knowledge and consent.
- c) In case of the folios where the investment is received through a MFD or RIA, the matter should also be taken up with the concerned MFD/RIA urgently and seek a written explanation as to why the name of the unrelated person has been added as the 2nd /3rd holder in such folios.

The concerned MFD/RIA shall also be advised to follow up and obtain a written confirmation from the 1st holder (excluding in cases where the 1st holder is a relative) that the name of the unrelated person has been added in the folio/s with his/her knowledge and consent and submit the same to the respective RTAs.

The RTAs shall keep track of such cases and verify / validate the signature of the 1st holder on the declaration carefully.

- d) If the 1st holder confirms in writing that the name of the unrelated person has been added in the folio as a joint holder without his/her knowledge or consent, and wants the same to be deleted from the folio, the AMC/ RTA shall act on such requests immediately and delete the name of the unrelated person from the folio under intimation to the 1st holder as well as the MFD/RIA and the unrelated person (at his/her address as per KYC database).
- e) Pending receipt of written confirmation/declaration of the 1st holder as mentioned in points b) and d) above, all transactions such as redemption/ change in bank mandate, updation of contact details and transmission in such folios should be subject to enhanced due diligence in accordance with Risk Management Framework of the AMC in order to determine the genuineness of such transactions.
- f) Further, in case such transactions have been received under Regular Plan, the trail commission to the concerned ARN holder on such folios shall be withheld till such time that these folios are remediated as mentioned in points c) and d) above.
- g) Remediation should be by way of written confirmation only, and the signature of the 1st holders in such confirmation shall be verified with the registered signature in the folio. No oral / email confirmation should be accepted to avoid any fraudulent cases where the distributor /EUIN holder/RIA/any other person could have added the name of an accomplice as a joint holder unauthorisedly and there could be a possibility that the email and the mobile number in such folios does not belong to the 1st holder.

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- h) Wherever it is confirmed that the name of an unrelated person has been added in the folio as joint holder without the 1st holder's knowledge and consent, the AMC shall take appropriate remedial action to safeguard the interest of the 1st holder.

2) Action to be taken in respect to such folios:

- a. The RTA shall put a temporary "Stop"/"Lock" in such folios (not "freeze" the units), so that any transaction in these folios is subjected to enhanced scrutiny and due diligence. AMCs/RTAs shall send a suitable written communication to the concerned unitholders for information in all such cases.
- b. AMCs/ RTAs should re-verify the registered bank account in respect of the folios by re-checking the cancelled cheque (where applicable) to ascertain whether the unrelated person is a joint holder in the registered bank account and also re-validate the bank account via penny drop / IMPS transaction afresh, using *PAN-based validation*, so as to confirm that the registered bank account belongs to the 1st holder only and whether the unrelated person is also a joint holder in the registered bank account.

If the unrelated person is found to be a joint holder in the registered bank account as well, it will be deemed that the name of the unrelated person has been added in the folio/s with the knowledge and consent of the first holder, and no further action needs to be taken in respect such folios.

- c. In case any application for transmission of Units is received in respect of such folios, the AMCs/ RTAs should exercise enhanced diligence and caution to make sure that the death claim is settled in favour of genuine beneficiary and to make sure that the unrelated person does not misuse his/her position as joint holder to get the transmission of units unduly transmitted in his/her name.
- d. AMCs / RTAs are also advised check whether any transactions, especially transmission requests have been received in such cases, and whether the same has been processed correctly to make sure that the unrelated person has not got the units transmitted unduly in his/her name. If any such case is detected, the AMC should immediately freeze the units in the folio and take further necessary action, including legal action against the unrelated person and the MFD/RIA , as deemed appropriate.

3) The action to be taken by AMCs in respect of the MFD/RIA involved in such cases:

- a. Trail commission of the MFD shall be withheld.
- b. AMC may decide to dis-empanel the MFD.
- c. In case of MFDs, report the matter to AMFI with complete details, including recommendation for suspension/termination of the MFD's AMFI registration with reasons/ justification.
- d. In case of RIAs, the AMC should inform the concerned unitholders suitably through a written communication and also report the matter to AMFI and SEBI with complete details.

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4) Unrelated person found to be registered as the Nominee in the folios of multiple unrelated 1st holders

- a. AMCs/RTAs are also advised to exercise due caution and take remedial measures on the above lines to ensure that name of an unrelated person is not added as the Nominee in the folios of unrelated investors/ without the knowledge of the investor/s.
- b. If the name of an apparently unrelated individual is found to have been added as the Nominee in the folios of multiple unrelated 1st holders (10 or more across all the AMCs serviced by the RTA) and prima facie the person appears to be not related to the first holder on the basis of the middle name (father's name) and surname, then action as per para-C (1) (b) to C (1) (d) above should be taken.

5) Additional risk mitigation measure

As an additional risk mitigation measure, once the data across all AMCs serviced by the RTA has been collated and verified, the RTAs shall share the relevant data (PAN/PEKRNs/name of such joint holders/nominees who are apparently not related to the first holders), with each other on a monthly basis to ensure identification of such persons across the industry and notify the AMCs serviced by them to take necessary action.

6) Above guidelines are applicable to both Regular and Direct Plan

7) Definition of 'Relative'

For the purposes of determining whether the person whose name is appearing as the 2nd or 3rd holder in the folios of multiple apparently unrelated 1st holders is related to the 1st holder, the definition of a 'Relative' shall be as per section 2(77) of the Companies Act, 2013, namely, *Spouse; Father and Mother; Son and his wife; Daughter and her husband; Brother, Sister, step-father, step-mother, step-son, step-brother and step-sister.*

Members are requested to take note of the contents of this circular for uniform implementation and also place a copy of the same for information before their AMC Board and the Trustees at their next board meetings.

With best regards,


Balkrishna Kini
Dy. Chief Executive

Confirmation of the 1st holder whether the name of joint holder/s has been added in the mutual fund folio(s) with or without his/her knowledge and consent

To:

_____ Mutual Fund

I/We, the undersigned are the registered unit holder/s of below mentioned Schemes/ folios of your mutual fund.

Name of the Scheme	Folio no.	Name of the 1 st holder	Name of the other joint holder*

* Other than the distributor himself / herself.

I/we hereby declare and confirm that the name of << *name of the unrelated person* >> has been added as a joint holder (2nd holder / 3rd holder) in the aforesaid folios -

(i) WITH my / our knowledge and consent. *

(ii) **WITHOUT** my / our knowledge and consent. I/we therefore hereby request you to delete his/her name from the aforesaid folios forthwith and confirm to me/us. *

**Delete whichever is NOT applicable*

With regards,

Name & Signature

	Full Name	PAN	Signature
1 st Unit holder			
Joint Unit holder (other than the unrelated joint holder)			

Place: _____ Date: _____